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A Narrative Bid, Not an Earned Valuation

A metrics driven short thesis on Zcash (ZEC),
the top ten asset its own fundamentals do not support.

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TRACK Short, Market Cap Over $1B

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1 Executive Summary

We recommend a short position in Zcash (ZEC) near $1,210, a market capitalization about $21B and roughly the tenth largest crypto asset. Over a 6 to 12 month horizon we see a base case near $650 (about 46% downside) and a deeper case near $450 (about 63% downside), against a squeeze case near $2,000 that we size for openly. This is a contrarian call into strength, and we treat it as one.

$21B	$204K	1.8×	29%
MARKET CAP, ABOUT RANK 10	NETWORK FEES, ALL OF Q3	MONERO'S MARKET CAP	OF SUPPLY SHIELDED

Our case is built on fundamentals, in the language this panel uses, and not on regulation. On every measure that defines value accrual, Zcash has not earned a top ten valuation. The most credible version of this view came from inside the industry. F2Pool cofounder Chun Wang called the move a narrative bid and questioned how Zcash can sit beside networks like Solana and Hyperliquid that actually generate economic value.

> *A big market cap does not mean a coin earned its place.*
>
> CHUN WANG, COFOUNDER OF F2POOL

He is right, and the ledger is blunt about it. In all of the third quarter of 2026 the Zcash network collected about $204,000 in transaction fees. That is its entire revenue by the Blockworks measure, because the network has no tips and no extractable value, only fees. Annualize even that, its strongest quarter, and a valuation near $21B works out to a price to revenue multiple around twenty five thousand, where the networks this panel calls fairly valued sit near forty. The bull reply is that Zcash is not a business but money, a private store of value like Bitcoin. We take that seriously and answer it directly. Zcash does not earn Bitcoin's monetary premium either. Its supply was not independently verifiable for years after a counterfeiting flaw, its founding team walked out in January, new coins still fund a developer treasury, and under a third of the supply is ever shielded. It fails the revenue test and the money test at once. The bid holding it up is financial, not organic. It leans on a spot fund that drew in money all summer and a Winklevoss backed treasury, Cypherpunk, that holds about 1.9% of all Zcash at an average cost near $342, far below the current price. Those are the holders most able to sell, and a bid this reflexive reverses when its marginal buyer pauses. The crowd is paying for the story. We are pricing the network.

2 Project Overview

2.1 What Zcash is, and why it ran

Zcash is a privacy focused cryptocurrency that hides transaction details using zero knowledge cryptography, with a fixed cap of 21 million coins that mirrors Bitcoin. In 2026 a quiet 2016 project became a top ten asset. A United States inquiry closed with no action in January, Grayscale converted its trust into the first United States spot Zcash fund and framed privacy as essential in the age of AI, Multicoin Capital and Paradigm disclosed positions, shielded usage rose as wallets moved people into encrypted pools, and a run of upgrades cut sync and block times. We take the bull case seriously. The engineering is real and the narrative is powerful. The question this panel would ask is the right

one. Has the valuation been earned. Figure 1 shows the run, and the fees that did not follow it.

Figure 1 The run, and the fees that never came



Figure 1. Zcash price, USD, weekly, from our own pull of free market data. It traded under $60 for most of 2024 and early 2025. The shaded band is the reversion target, near the market capitalization of Monero. Over the whole window the network earned about $204,000 of fees in the third quarter, its entire revenue by the Blockworks measure. Source: CoinGecko, Blockworks Research.

2.2 It does not earn a network's valuation

Value in this market accrues to networks that produce economic activity. That is the lens behind the Blockworks real economic value framework and behind the Blockworks Zcash Token Holder Report, which still describes the network as entering its first stage of scale. Measured that way Zcash is among the most richly valued large assets in crypto. It earned about $204,000 of fees in the third quarter against a capitalization near $21B, a gap of orders of magnitude from any productive chain. Usage is in fact rising. Transactions grew about 21% in the quarter to roughly 710,000, and more than half of them touched a shielded pool. But adoption is not the same as monetization. People are using the network without paying it, so none of that activity reaches the token as revenue. The cleanest comparison is Monero, which makes privacy mandatory for its entire supply and still trades at a little over half of Zcash's market capitalization. The market is paying the larger premium for the privacy network where most coins stay transparent.

2.3 It does not earn Bitcoin's premium either

If Zcash is priced as money rather than as a network, it has to clear the bar that money clears, and it does not. In the second quarter of 2026 researchers disclosed a counterfeiting flaw in the Orchard shielded pool that had gone undetected for years and could in principle have minted coins out of nothing. The network contained it and shipped a replacement pool, Ironwood, whose supply is backed by a machine checked proof, but that proof covers Ironwood alone. The history of the sealed Orchard pool, where about 379,000 coins still sit, cannot be cleared the same way. For an asset whose entire pitch is sound, verifiable, private money, a stretch of years when the supply could not be independently trusted is not a small detail. The soundness story has other holes. The founding team at the Electric Coin Company left in January after a governance dispute, and development is now spread across several groups. Issuance still runs near 3.3% a year, and a developer fund takes 12% of every block. Privacy itself is optional, so under a third of the supply is ever shielded. A

higher inflation, recently unverifiable, governance orphaned asset whose privacy most holders never use does not earn the monetary premium of Bitcoin. On the two tests this panel actually applies, revenue and the quality of the money, Zcash fails both.

Risks to the short, stated plainly.

- Momentum and reflexivity. Zcash is in a strong uptrend and short covering has repeatedly fed it. We size small, lean on the measurable gap rather than on calling the exact top, and respect the squeeze case.
- A spot fund that keeps growing, renewed treasury buying, or a fresh wave of the privacy narrative would extend the move. We weight this as a real adverse scenario.
- Shielded usage is genuinely rising. We argue it does not accrue to the token, but if the market keeps paying for adoption rather than revenue, the gap can stay open longer than a short can wait. A regulatory overhang also exists in some jurisdictions. We treat it as a secondary risk, not the thesis.

3 Investment Proposal

Position: short Zcash. Entry near $1,210. Horizon: 6 to 12 months. The thesis resolves as a premium placed on a story reverts toward the fundamentals, usage, and comparables that support it. The two charts below frame the trade. What Zcash is worth against its only real peer, and where a reversion leads.

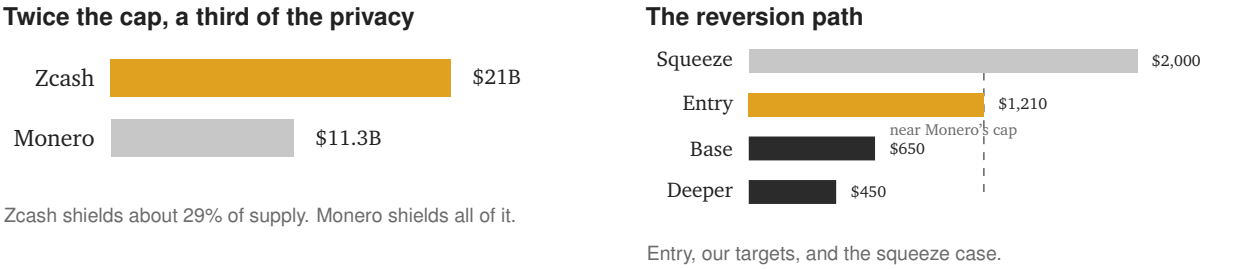


Figure 2. Left, market capitalization of the two privacy leaders. Right, the scenario prices. A base case near $650 puts Zcash at about Monero's market capitalization and is roughly 46% below the entry, a deeper case near $450 sits below it, against a squeeze toward $2,000 that we weight at 35%. Source: Blockworks Research, CoinGecko.

3.1 Valuation on the metrics that matter

We anchor on three lenses that converge. First, revenue. On the Blockworks measure Zcash trades near twenty five thousand times its network revenue, where productive chains sit near forty, so on the panel's own metric it is among the most expensive large assets in crypto. Second, comparables. Monero does more real private payment for a little over half the market capitalization, so Zcash carries a privacy premium of roughly two times that its usage does not justify. Third, the derivation of the targets. Zcash has about 17 million coins outstanding. A base case near $650 puts its market capitalization close to Monero's, around $11B, which is where a privacy leader with weaker monetization should sit. A deeper case near $450 takes it below Monero, nearer $8B, on its optional privacy and governance risk. A probability weighting of 20% deeper, 45% base, and 35% squeeze

leaves a modest positive expected value on a higher variance trade. Fundamentals, comparables, and the holder base point the same way.

3.2 Why this is the trade

Short sellers who fought this asset on momentum alone were run over, and we do not repeat that mistake. We are not shorting Zcash because it rose. We are shorting a gap we can measure, between a top ten valuation and a network that earns almost nothing and a kind of money that is weaker than the one it imitates. We also set a line. If network revenue were to rise by an order of magnitude, or if the shielded share of supply were to pass a clear majority, the thesis would be wrong and we would cover. Neither is close today. The reflexive buyers that built the premium, levered longs and a treasury sitting on a large gain, are the most likely source of its reversal.

4 Conclusion

Zcash is a genuinely improved network wrapped in a valuation its fundamentals do not support. The shielded usage is rising and the narrative has never been louder, but none of that underwrites a $21B premium on an asset that earns about $204,000 of fees a quarter, shields under a third of its supply, trades at nearly twice the capitalization of the privacy coin that does more private payment, and could not independently verify its own supply for years. Priced as a network it is among the most expensive in crypto. Priced as money it is weaker than Bitcoin on every axis that makes money sound. The market is paying for a story, financial privacy in the age of AI, as if it were adoption. On the metrics that define value accrual, Zcash has not earned its place in the top ten, and the bid that carried it there is already turning.

Recommendation: short Zcash over a 6 to 12 month horizon. Base target $650, about 46% downside. Deeper target $450. Acknowledged squeeze risk toward $2,000. The narrative is loud. The revenue is not, and the money is not sound. That gap is the trade.

+46%	+63%	(65%)
BASE, ZEC $650	DEEPER, ZEC $450	SQUEEZE, ZEC $2,000

Appendix

Metrics versus valuation

MEASURE	ZCASH, NOVEMBER 2026
Market capitalization	about $21B, around rank 10
Network REV, third quarter 2026	about $204,000 of fees, the entire quarter
Price to network REV	about 25,000 times, annualized
Median transaction fee	about $0.13
Transactions, third quarter	710,047, up about 21% over the prior quarter
Share of supply shielded	about 29%, privacy optional
Transactions touching a shield	about 53% of non coinbase activity
Annual issuance	about 3.3%, with 12% of each block to a developer fund
Grayscale Zcash fund	about $263M of inflows through the third quarter
Largest corporate holder	Cypherpunk, about 1.9% of supply, average cost near $342

Price to network REV, Zcash versus productive chains

NETWORK	PRICE TO NETWORK REV
Zcash	about 25,000 times
Ethereum	above 1,000 times
Solana	about 175 times
Tron	about 100 times

Zcash versus Monero

MEASURE	ZCASH	MONERO
Market capitalization	about $21B	about $11.3B
Privacy model	optional, zero knowledge	mandatory for all
Share of supply private	about 29%	about 100%

Data note. Price, market capitalization, and supply are as of early November 2026, from our own pull of the free CoinGecko interface, cross checked against the Blockworks market series. Network REV, fees, transaction counts, shielded share, and issuance are from the Blockworks Research Zcash Token Holder Report for the third quarter of 2026, where network REV is the dollar value of all transaction fees paid. Zcash has no out of protocol tips or extractable value, so fees are its entire network REV. The price to revenue multiple annualizes the strongest quarter of fees, which flatters the network, and still lands in the tens of thousands, where Blockworks calls a multiple near forty grounded for Solana and Tron. Peer multiples use Blockworks network REV. Our data pull is scripted and reproducible.

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